MERIDIAN TECHNOLOGIES PVT. LTD.

Internal Policy Document

Procurement Policy

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1. Purpose

Intent

The Procurement Policy ensures all purchases of goods and services by Meridian Technologies are made through a transparent, competitive, and value-driven process.

It establishes the standards that all procurement activity must meet, irrespective of the cost centre, the geography, or the nature of the spend.

Scope

The policy applies to all procurement undertaken by or on behalf of the company, including capital expenditure, operating expenditure, and service contracts.

Procurement undertaken on behalf of clients under back-to-back contracts is additionally subject to any specific client requirements that may be more stringent.

2. Procurement Principles

Core Principles

All procurement is guided by the principles of transparency, value for money, fairness, accountability, and adherence to legal and regulatory requirements.

Value for money is not synonymous with lowest price; total cost of ownership, quality, and supplier reliability are equally important.

Ethical Conduct

Procurement decisions must be free from personal bias, conflict of interest, and any consideration extraneous to the business merits of the proposal.

All procurement personnel are required to complete an anti-bribery training annually.

3. Vendor Empanelment

Empanelment Process

Vendors providing recurring goods or services must be empanelled through the annual vendor evaluation process. Empanelment includes due diligence on financial stability, references, statutory compliance, and a sample order.

New vendors required for one-off procurements may be onboarded through a simplified due diligence track, subject to a value cap.

Approving Authority

Vendor empanelment is approved by the Procurement Committee, comprising the Procurement Head, Finance Controller, and the user department head.

Empanelment is valid for two years from the date of approval and is subject to renewal based on performance review.

4. Purchase Order Limits

Up to Rs. 50,000

Purchase Orders up to Rs. 50,000 may be raised by the user department head with approval from the Procurement Head.

These low value purchases follow a simplified workflow but must still be supported by at least one written quotation.

Rs. 50,001 to Rs. 5,00,000

Purchase Orders from Rs. 50,001 to Rs. 5,00,000 require approval from the Procurement Head and Finance Controller.

Above Rs. 5,00,000

Purchase Orders above Rs. 5,00,000 require approval from the relevant Vice President. POs above Rs. 25,00,000 additionally require CFO approval.

Capital expenditure above Rs. 1,00,00,000 requires Board approval.

5. Tendering and Quotations

Standard Quotations

Procurement above Rs. 1,00,000 requires a minimum of 3 written quotations from empanelled vendors.

Where 3 quotations are not feasible, a written justification approved by the Procurement Head must be filed.

Formal RFP

Procurement above Rs. 10,00,000 requires a formal RFP process with sealed bids opened by a panel of at least 3 members from Procurement, Finance, and the user department.

RFP evaluation criteria must be documented before bid opening and applied consistently to all bidders.

6. Single Source Justification

When Allowed

Single source procurement is permitted only where it is the sole supplier, an OEM, or for an emergency where time-bound delivery is essential.

Brand preference of the user department alone is not sufficient justification for single source procurement.

Approval Requirement

Single source justification must be documented in writing and approved by the Procurement Head and Finance Controller, irrespective of order value.

A periodic review of single source contracts is conducted annually to determine whether alternatives can be developed.

7. Contract Approvals

Legal Review

All contracts with vendors must be vetted by the Legal team. Contracts above Rs. 10,00,000 in value or those involving sharing of Confidential or Restricted data also require Information Security and Data Protection Officer review.

Standard contract templates have been pre-approved by Legal; using these accelerates the review process.

Signatures and Storage

Contracts must be signed by an authorised signatory as per the Delegation of Authority matrix. Signed contracts are stored in the Contract Management System and remain accessible for audit.

8. Payment Terms

Standard Terms

Standard payment terms are net 30 days from receipt of invoice and goods or services. Advance payments are permitted only for the procurement of capital goods up to 25 percent of order value, against a bank guarantee.

Early payment discounts offered by vendors should be evaluated by Finance for cash flow benefit before being accepted.

Disputes and Holds

Disputed invoices are held in suspense until resolved between the user department, Procurement, and the vendor; aged disputes are reviewed monthly by Finance.

9. Performance Review

Review Cadence

Vendor performance is reviewed semi-annually on quality, timeliness, responsiveness, and pricing. Underperforming vendors are issued an improvement plan; persistent issues lead to de-empanelment.

Strategic vendors are reviewed jointly with the user department through a structured business review meeting.

Feedback Mechanism

User departments are encouraged to log feedback in the Vendor Management System on an ongoing basis to ensure the periodic review is based on a complete data set.

10. Conflict of Interest

Declarations

Employees involved in procurement decisions must declare any personal interest in a vendor. Direct family members of employees may not be vendors without explicit approval of the CFO and the Audit Committee.

Declarations are refreshed annually and additionally whenever a new conflict is identified.

Recusal

Where a conflict exists, the conflicted employee must recuse themselves from the procurement decision and have no involvement in evaluation or approval.